THIS CIRCULAR IS IMPORTANT AND REQUIRES YOUR IMMEDIATE ATTENTION

If you are in any doubt as to any aspect of this circular or as to the action to be taken, you should consult your stockbroker or other registered dealer in securities, bank manager, solicitor, professional accountant or other professional adviser.

If you have sold or transferred all your shares in **Virtual Mind Holding Company Limited** (the "**Company**"), you should at once hand this circular, together with the enclosed form of proxy, to the purchasers or transferees or to the bank, stockbroker or other agent through whom the sale was effected for transmission to the purchasers or transferees.

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天機控股有限公司
VIRTUAL MIND HOLDING COMPANY LIMITED

(incorporated in the Cayman Islands with limited liability)

(Stock Code: 1520)

I. FIRST SUBSCRIPTION AGREEMENT IN RELATION TO THE SHARE SUBSCRIPTION FACILITY AGREEMENT FOR SUBSCRIPTION OF SHARES UNDER SPECIFIC MANDATE AND ISSUE OF WARRANTS UNDER SPECIFIC MANDATE
II. PLACING OF NEW SHARES UNDER SPECIFIC MANDATE
AND
III. NOTICE OF EXTRAORDINARY GENERAL MEETING

Capitalised terms used in this cover page shall have the same meanings as defined in this circular.

A notice convening the EGM to be held at Suite 1702, 17/F., World-Wide House, No. 19 Des Voeux Road Central, Hong Kong at 11:00 a.m. on Thursday, 13 August 2026 or any adjournment thereof, is set out on pages EGM-1 to EGM-3 of this circular.

Whether or not you are able to attend the EGM, you are requested to complete and return the accompanying form of proxy in accordance with the instructions printed thereon and deposit the same as soon as possible and in any event not later than 48 hours before the time appointed for holding of the EGM or any adjournment thereof to the Company's branch share registrar and transfer office in Hong Kong, Tricor Investor Services Limited, at 17/F, Far East Finance Centre, 16 Harcourt Road, Hong Kong. Completion and return of the form of proxy will not preclude you from attending and voting at the EGM or any adjournment thereof should you so wish, and in such case, the form of proxy previously submitted shall be deemed to be revoked.

24 July 2026

CONTENTS

RESPONSIBILITY STATEMENT

This circular, for which the Directors (as defined herein) collectively and individually accept full responsibility, includes particulars given in compliance with the Listing Rules (as defined herein) for the purpose of giving information with regard to the Company. The Directors (as defined herein), having made all reasonable enquiries, confirm that to the best of their knowledge and belief, the information contained in this circular is accurate and complete in all material respects and not misleading or deceptive, and there are no other matters the omission of which would make any statement herein or this circular misleading.

In this circular, unless the context otherwise requires, the following expressions have the following meanings:

"2013 Share Option Scheme"	the share option scheme of the Company adopted on 22 November 2013
"Board"	the board of Directors
"Business Day(s)"	any day (other than a Saturday, Sunday or public holiday) on which licensed banks in Hong Kong are generally open for business throughout their normal business hours
"Company"	Virtual Mind Holding Company Limited, a company incorporated in the Cayman Islands, the Shares of which are listed on the Stock Exchange
"connected person(s)"	has the meaning ascribed to it under the Listing Rules
"Director(s)"	the director(s) of the Company
"EGM"	an extraordinary general meeting of the Company convened to be held at Suite 1702, 17/F., World-Wide House, No. 19 Des Voeux Road Central, Hong Kong on Thursday, 13 August 2026 at 11:00 a.m. for the purpose of considering and, if thought fit, approving, among others, the First Subscription Agreement and the Placing Agreement (as supplemented by the Supplemental Placing Agreement) and the transactions contemplated thereunder, the notice of which is set out on pages EGM-1 to EGM-3 of this circular
"First Share Subscription"	the subscription of the Subscription Shares under the First Subscription Agreement, as contemplated under the Share Subscription Facility Agreement
"First Subscription"	the First Share Subscription and the Issue of Warrants
"First Subscription Agreement"	the subscription agreement dated 20 January 2026 entered into between the Company and the Investor for the subscription of the Subscription Shares and the issue of the Warrants
"Group"	the Company and its subsidiaries
"GYBL"	GEM Yield Bahamas Limited, a company organised under the laws of the Bahamas
"Hong Kong"	Hong Kong Special Administrative Region of the People's Republic of China
"Investor"	GEM Global Yield LLC SCS, a company organized under the laws of Luxembourg

"Issue of Warrants"	the issue of Warrants to the Investor conferring the right to subscribe for the Warrant Shares pursuant to the terms of the First Subscription Agreement
"Latest Practicable Date"	23 July 2026, being the latest practicable date prior to the printing of this circular for ascertaining certain information for inclusion in this circular
"Listing Rules"	Rules Governing the Listing of Securities on the Stock Exchange
"Placee(s)"	any professional, institutional or other investor(s) procured by the Placing Agent or its agent(s) to subscribe for any Placing Shares pursuant to the Placing Agreement (as supplemented by the Supplemental Placing Agreement)
"Placing"	the placing, on a best effort basis, of up to 100,000,000 Placing Shares on and subject to the terms and conditions set out in the Placing Agreement (as supplemented by the Supplemental Placing Agreement)
"Placing Agent"	Wanhai Securities (HK) Limited, being a corporation licensed to conduct Type 1 (dealing in securities) and Type 4 (advising on securities) regulated activities under the SFO
"Placing Agreement"	the conditional placing agreement dated 20 January 2026 entered into between the Company and the Placing Agent in relation to the Placing (as supplemented by the Supplemental Placing Agreement)
"Placing Completion"	completion of the Placing in accordance with the terms and conditions of the Placing Agreement (as supplemented by the Supplemental Placing Agreement)
"Placing Completion Date"	the third Business Day after the fulfillment of the conditions precedent of the Placing Agreement (as supplemented by the Supplemental Placing Agreement) (or such other date as the Company and the Placing Agent may agree in writing)
"Placing Price"	HK$0.52 per Placing Share (exclusive of any brokerage, SFC transaction levy and Stock Exchange trading fee as may be payable)
"Placing Share(s)"	a total of up to 100,000,000 new Shares to be placed pursuant to the Placing Agreement (as supplemented by the Supplemental Placing Agreement) and to be issued under the Specific Mandate, each a "Placing Share"
"Relevant Price"	in relation to any issue, grant or modification to in paragraphs (c), (f), (g) or (h) of the adjustments in the sub-section "Principal terms of the Warrants", the current market price per Share on the date of first public announcement of the terms of issue, grant or modification referred to in the relevant paragraphs of adjustments

"SFC"	the Securities and Futures Commission of Hong Kong
"SFO"	Securities and Futures Ordinance (Chapter 571, Laws of Hong Kong)
"Saudi Industrial IP Business"	industrial IP sector of the Kingdom of Saudi Arabia, primarily operating under the relevant frameworks of the Saudi Ministry of Industry, including the smart manufacturing and super complex and robotics as a service
"Saudi Industrial IP"	industrial IP sector of the Kingdom of Saudi Arabia
"Share(s)"	ordinary share(s) of HK$0.04 each in the capital of the Company
"Share Award Scheme"	the share award scheme of the Company adopted on 26 June 2024
"Share Registrar"	Tricor Investor Services Limited, the branch share registrar of the Company in Hong Kong for the time being
"Share Subscription Facility Agreement"	the share subscription facility agreement entered into between the Company, the Investor and GYBL on 29 August 2025 relating to, among others, the First Share Subscription and Issue of Warrants
"Shareholder(s)"	holder(s) of Shares
"Specific Mandate"	the specific mandate to be granted to the Directors by the Shareholders at the EGM for, among others, (i) the issue and allotment of Subscription Shares, (ii) the issue and allotment of Warrant Shares and (iii) the issue and allotment of the Placing Shares
"Stock Exchange"	The Stock Exchange of Hong Kong Limited
"Subscription Price"	HK$0.85 per Subscription Share
"Subscription Shares"	up to 8,000,000 new Shares to be issued and allotted to the Investor pursuant to the First Subscription Agreement
"subsidiary(ies)"	has the meaning ascribed to it under the Listing Rules
"Supplemental Placing Agreement"	the supplemental agreement to the Placing Agreement entered into between the Company and the Placing Agent on 17 July 2026
"Treasury Shares"	shall have the meaning ascribed to it under the Listing Rules
"Warrant(s)"	the warrant(s) to be issued by the Company to the Investor for the subscription by the Investor of up to 31,000,000 Shares at the Warrant Exercise Price, subject to adjustments

"Warrant Shares"	up to 31,000,000 new Shares to be issued upon exercise of the subscription rights attached to the Warrants
"Warrant Exercise Price"	HK$1.97 per Warrant Share (subject to adjustments)
"HK$"	Hong Kong dollars, the lawful currency of Hong Kong
"%"	per cent.

天機控股有限公司
VIRTUAL MIND HOLDING COMPANY LIMITED
(incorporated in the Cayman Islands with limited liability)
(Stock Code: 1520)

Executive Directors:
Mr. MEI Weiyi *(Chairman)*
Mr. LI Yang
Ms. TIN Yat Yu Carol
Mr. WONG Wai Kai Richard

Non-executive Director:
Ms. KOT Mui

Independent Non-executive Directors:
Mr. TANG Shu Pui Simon
Mr. HON Ming Sang
Mr. CHEUNG Pak To, *BBS*

Registered office:
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Hutchins Drive
P.O. Box 2681
Grand Cayman KY1-1111
Cayman Islands

Head office and principal place of business in Hong Kong:
Suite 1702, 17/F.
World-Wide House
No.19 Des Voeux Road Central
Hong Kong

24 July 2026

To the Shareholders

Dear Sir/Madam

I. FIRST SUBSCRIPTION AGREEMENT IN RELATION TO THE SHARE SUBSCRIPTION FACILITY AGREEMENT FOR SUBSCRIPTION OF SHARES UNDER SPECIFIC MANDATE AND ISSUE OF WARRANTS UNDER SPECIFIC MANDATE AND II. PLACING OF NEW SHARES UNDER SPECIFIC MANDATE

INTRODUCTION

Reference is made to the announcements of the Company dated 29 August 2025, 5 December 2025, 24 December 2025, 20 January 2026 and 17 July 2026 in relation to, among other things, the Share Subscription Facility Agreement, the First Subscription Agreement and the Placing Agreement (as supplemented by the Supplemental Placing Agreement).

The purpose of this circular is to provide you with, among other things, further details of (i) the First Subscription Agreement in respect of the First Share Subscription and Issue of Warrants, and (ii) the Placing Agreement (as supplemented by the Supplemental Placing Agreement), together with a notice convening the EGM.

FIRST SUBSCRIPTION AGREEMENT

Share Subscription Facility Agreement

The Company entered into the Share Subscription Facility Agreement with the Investor and GYBL on 29 August 2025, pursuant to which, subject to the terms and conditions of the Share Subscription Facility Agreement (i) the Investor in principle agreed to grant to the Company an option to require the Investor to subscribe for such number of new Shares for up to an aggregate amount of HK$225,000,000; and (ii) the Company in principle agreed to issue the Warrants to the Investors conferring rights to subscribe for up to 31,000,000 Shares at the exercise price of HK$1.97 per Share (subject to adjustments).

The Share Subscription Facility Agreement is a framework agreement for the Company's issue of Shares and Warrants.

(i) *Issue of Shares* – The Company intends to issue new Shares to be subscribed for by the Investor in tranches over the three-year period and will seek prior approval from the Shareholders based on the number of Shares to be issued in each tranche. Upon the serving of the subscription notice by the Company to the Investor, the Shares for subscription by the Investor will be issued in one of the following ways:–

   (a) under the then available general mandate to issue new Shares granted by the Shareholders to the Directors ("**General Issue Mandate**") if the subscription price can meet general mandate requirement under Rules 13.36(2)(b) and 13.36(5) of the Listing Rules; or

   (b) under a specific mandate to be sought from the Shareholders at a general meeting to be convened if the subscription price cannot meet the general mandate requirement under Rules 13.36(2)(b) and 13.36(5) of the Listing Rules or there is no available General Issue Mandate.

   The Company intends to seek approval from the Shareholders by way of the Specific Mandate at the EGM for the issuance of the Subscription Shares.

(ii) *Issue of Warrants* – Under the Share Subscription Facility Agreement, the Company has agreed to issue the Warrants to the Investor to subscribe for up to 31,000,000 Shares at the Warrant Exercise Price of HK$1.97 per Share (subject to adjustments). The Warrants are exercisable for a period of eighteen (18) months after the issue of the Warrants to the Investor.

   The Specific Mandate shall be sought at the EGM for the allotment and issuance of the Warrant Shares.

To the best of the Directors' knowledge, information and belief having made all reasonable enquiries, the Investor and GYBL and their respective ultimate beneficial owners are independent of the Company and connected persons of the Company (as defined in the Listing Rules).

First Subscription Agreement

In order to comply with the relevant regulatory requirements, and in accordance with the Share Subscription Facility Agreement, on 20 January 2026, the Company and the Investor entered into the First Subscription Agreement based on the requirements under the Listing Rules. The issuance of Subscription Shares and Warrants shall be subject to the terms and conditions of the First Subscription Agreement. Pursuant to the First Subscription Agreement, the Company shall agree to allot and issue to the Investor:

(i) up to 8,000,000 Subscription Shares at a price which should be the lower of HK$0.92 per Subscription Share (being the closing price of the Shares as quoted on the Stock Exchange on the second trading day immediate preceding the date of the First Subscription Agreement i.e. 16 January 2026) or 90% of the closing price of the Shares as quoted on the Stock Exchange on 19 January 2026, being the last trading day prior to the entering into the First Subscription Agreement (the closing price on 19 January 2026 was HK$0.94); and

(ii) the Warrants to subscribe for up to 31,000,000 Warrant Shares at the Warrant Exercise Price of HK$1.97 per Warrant Share, exercisable for a period of eighteen (18) months after the issue of the Warrants to the Investor.

The First Share Subscription

The total consideration for the Subscription Shares shall be maximum of HK$6.8 million, to be paid in full by the Investor upon completion of the First Share Subscription.

As at the Latest Practicable Date, there are 948,938,313 Shares in issue (excluding 2,898,000 Treasury Shares).

The 8,000,000 Subscription Shares represents (a) approximately 0.84% of the total existing issued Shares as at the Latest Practicable Date (excluding 2,898,000 Treasury Shares); (b) approximately 0.84% of the total issued Shares (excluding 2,898,000 Treasury Shares) as enlarged by the allotment and issue of the Subscription Shares; (c) approximately 0.81% of the total issued Shares (excluding 2,898,000 Treasury Shares) as enlarged by the allotment and issue of the Subscription Shares and the Warrant Shares upon exercise of the subscription rights attached to the Warrants in full; (d) approximately 0.76% of the total issued Shares (excluding 2,898,000 Treasury Shares) as enlarged by the allotment and issue of the Subscription Shares and the Placing Shares; and (e) approximately 0.74% of the total issued Shares as enlarged by the allotment and issue of the Subscription Shares, the Placing Shares and the Warrant Shares upon exercise of the subscription rights attached to the Warrants in full.

The Subscription Shares to be issued for the First Share Subscription will be satisfied by new Shares to be issued by the Company. The Company will not utilize the Treasury Shares to satisfy the Subscription Shares to be issued for the First Share Subscription.

The Subscription Shares will be issued and allotted under the Specific Mandate to be sought from the Shareholders at the EGM.

The proposed issuance of the Subscription Shares will not result in a theoretical dilution effect of 25% or more.

Subscription Price

The Subscription Price is HK$0.85 per Subscription Share (being approximately 90% of the closing price of HK$0.94 per Share as quoted on the Stock Exchange on 19 January 2026) and represents:

(i) a premium of approximately 73.47% over the closing price of HK$0.490 per Share as quoted on the Stock Exchange on the Latest Practicable Date;

(ii) a discount of approximately 8.60% to the closing price of HK$0.93 per Share as quoted on the Stock Exchange on the date of the First Subscription Agreement;

(iii) a discount of approximately 11.64% to the average closing price of approximately HK$0.962 per Share as quoted on the Stock Exchange for the last five consecutive trading days immediately prior to the date of the First Subscription Agreement;

(iv) a discount of approximately 15.34% to the average closing price of approximately HK$1.004 per Share as quoted on the Stock Exchange for the last ten consecutive trading days immediately prior to the date of the First Subscription Agreement;

(v) a premium of approximately 451.95% over the unaudited consolidated net asset value per Share attributable to the Shareholders as at 30 June 2025 of approximately HK$0.154 per Share as set out in the interim report of the Company for the six months ended 30 June 2025 (based on the value of net asset and the number of Shares of the Company (excluding Treasury Shares) as at the Latest Practicable Date);

(vi) a premium of approximately 382.95% over the audited consolidated net asset value per Share attributable to the Shareholders as at 31 December 2025 of approximately HK$0.176 per Share as set out in the annual report of the Company for the year ended 31 December 2025 (based on the value of net asset and the number of Shares of the Company (excluding Treasury Shares) as at the Latest Practicable Date); and

(vii) theoretical dilution effect (as defined under Rule 7.27B of the Listing Rules) represented by a discount of approximately 0.1%, represented by the theoretical diluted price of approximately HK$0.9610637 per Share to the benchmarked price of approximately HK$0.962 per Share (as defined under Rule 7.27B of the Listing Rules), taking into account the higher of (a) the closing price of the Shares as quoted on the date prior to the date of the First Subscription Agreement of HK$0.94 per Share, and (b) the average of the closing prices of the Shares as quoted on the Stock Exchange for the five consecutive trading days immediately prior to the date of the First Subscription Agreement of HK$0.962 per Share.

There is no cumulative dilution (as defined under Rule 7.27B of the Listing Rules) in aggregation with the issue of the Placing Shares.

The maximum aggregate nominal value of the Subscription Shares is HK$320,000.

Subject to the completion of the First Share Subscription, it is expected that the maximum gross proceeds and net proceeds (after deducting all related expenses) from the First Share Subscription will be HK$6.8 million and HK$6.7 million respectively. On such basis, the net issue price will be approximately HK$0.84 per Subscription Share.

The Subscription Price was negotiated on an arm's length basis between the Company and the Investor after taking into account the terms as set out in the Share Subscription Facility Agreement, the Company's funding needs and the prevailing market conditions. Notwithstanding the Subscription Price represents a discount to the then benchmark market price of the Shares at the signing of the First Subscription Agreement, it also represents substantial premium over the net asset value per Share as at 30 June 2025 and 31 December 2025. The theoretical dilution effect (as defined under Rule 7.27B of the Listing Rules) is minimal. It is common market practice to issue new Shares to investor(s) at discount to the recent market price in order to successfully attract investors and raise funds for business expansion in an efficient manner. The Board considers that the fund-raising benefits to the Company and its Shareholders as a whole outweigh the limited dilution arising from the First Share Subscription. The Board therefore considers that the Subscription Price is fair and reasonable and in the interests of the Company and the Shareholders as a whole.

Ranking of the Subscription Shares

The Subscription Shares will rank *pari passu* in all respects among themselves and with the other existing Shares upon issuance.

The Issue of Warrants

The Warrants shall be issued at zero issue price to the Investor. Based on the preliminary valuation prepared by an independent valuer on the fair value of the Warrants, the Warrants is estimated at HK$0.143 per unit as at 20 January 2026 (the "**Valuation Date**"), and the total for 31,000,000 units of Warrants is HK$4.43 million.

The valuation was conducted in accordance to the International Valuation Standards issued by the International Valuation Standards Council, and was carried out on a market value basis. The valuation procedures employed include a review of legal status and economic condition of the Company and an assessment of key assumptions, estimates and representations made by the Company. The valuer applied the Black-Scholes option pricing model in calculating the theoretical value of the Warrants using six key determinants: stock price, exercise price, volatility, time to expiration, risk free interest rate and dividend yield.

The following key assumptions in determining the market value of the Warrants have been made:

– assumed that there will be no material change in the existing political, legal, technological, fiscal or economic conditions, which might adversely affect the business of the Company;

– assumed that the contractual terms stipulated in the relevant agreements will be honoured;

– assumed the accuracy of the financial information and agreements provided to us by the Company and we have relied to a considerable extent on such information in arriving at the opinion of value; and

– assumed that there are no hidden or unexpected conditions associated with the Company that might adversely affect the reported value.

The market value of Warrants as at the Valuation Date is calculated as follows:

Parameter	**Unit**	**Input**
Warrant value per each Share of the Company	HK$	0.1430
Number of Shares of the Company to subscribe	Quantity	31,000,000
Market Value of the Warrants as at Valuation Date (Rounded)	**HK$**	**4,430,000**

Below are the parameters used under the Black-Scholes option pricing model and the basis for determination, the nature and source of information:

Parameter	**Input**	**Basis**	**Nature and Source**
Stock Price	HK$0.93	Being the closing price as at the Valuation Date	Bloomberg L.P.
Exercise Price	HK$1.97	As stated in the relevant agreements: the First Subscription Agreement dated 20 January 2026 and the Share Subscription Facility Agreement dated 29 August 2025, as announced by the Company	The Company
Volatility *(Note)*	74.94%	Based on historical volatility of Company	Bloomberg L.P.
Time to Expiration	18 months	As stated in the relevant agreements: the First Subscription Agreement dated 20 January 2026 and the Share Subscription Facility Agreement dated 29 August 2025, as announced by the Company	The Company
Risk-free Interest Rate	2.33%	Based on HKD Hong Kong Sovereign Curve	Bloomberg L.P.
Dividend Yield	0.00%	Based on historical information of Company: the Company has not distributed dividends in historical period and confirms that no dividends will be distributed during its existence.	Bloomberg L.P.

Note: The annualized volatility is calculated using the closing prices of the Shares on each of the trading days between the date of announcement for the proposed issue of the Warrants on 29 August 2025 to the Valuation Date on 20 January 2026.

The Black-Scholes formula applied in the valuation of the Warrants is as below:

$$W=S_oN(d_1)-Ke^{-rt}N(d_2)$$

$$\text{Where} \quad d_1 = \frac{\ln(S_0 / K) + (r + \sigma^2 / 2)\,T}{\sigma\sqrt{T}}, \quad d_2 = d_1 - \sigma\sqrt{T}$$

W = warrant value
S_0 = current stock price (HK$0.93)
K = exercise price (HK$1.97)
r = risk-free interest rate (2.33%)
T = time to expiration (1.5 years)
σ = volatility (74.94%)
N(·) = cumulative standard normal distribution

The Warrant Exercise Price is HK$1.97 per Warrant Share, represents:

(i) a premium of approximately 302.04% over the closing price of HK$0.490 per Share as quoted on the Stock Exchange on the Latest Practicable Date;

(ii) a premium of approximately 111.83% over the closing price of the Shares at HK$0.93 per Share as quoted on the Stock Exchange as at the date of the First Subscription Agreement;

(iii) a premium of approximately 104.78% over the average closing prices of the Shares at HK$0.962 per Share for the five consecutive trading days as quoted on the Stock Exchange immediately before the date of the First Subscription Agreement;

(iv) a premium of approximately 96.22% over the average closing price of approximately HK$1.004 per Share as quoted on the Stock Exchange for the last ten consecutive trading days immediately prior to the date of the First Subscription Agreement;

(v) a premium of approximately 1,179.22% over the unaudited consolidated net asset value per Share attributable to the Shareholders as at 30 June 2025 of approximately HK$0.154 per Share as set out in the interim report of the Company for the six months ended 30 June 2025 (based on the value of net asset and the number of Shares of the Company (excluding Treasury Shares) as at the Latest Practicable Date); and

(vi) a premium of approximately 1019.32% over the audited consolidated net asset value per Share attributable to the Shareholders as at 31 December 2025 of approximately HK$0.176 per Share as set out in the annual report of the Company for the year ended 31 December 2025 (based on the value of net asset and the number of Shares of the Company (excluding Treasury Shares) as at the Latest Practicable Date).

There is no theoretical dilution effect (as defined under Rule 7.27B of the Listing Rules).

The Board considers that the Warrants to be issued at zero issue price to the Investor is fair and reasonable and is in the interests of the Shareholders of the Company as a whole.

The maximum aggregate nominal value of the Warrant Shares is HK$1.24 million.

The Warrant Shares will be issued by way of new Shares under the Specific Mandate to be sought from the Shareholders at the EGM, and no Treasury Shares will be transferred to the holder for this purpose.

It is expected that the maximum gross proceeds and net proceeds (after deducting all related expenses) from the issue of Warrants Shares upon exercise of the subscription rights attached to the Warrants in full will be HK$61.07 million and HK$60 million respectively. On such basis, the net issue price will be approximately HK$1.935 per Warrant Share.

The Warrant Exercise Price was negotiated on an arm's length basis between the Company and the Investor after taking into account the above and the terms as set out in the Share Subscription Facility Agreement, the Company's funding needs and the prevailing market conditions. The Warrant Exercise Price represents substantial premium over the benchmark market prices of the Shares when signing of the First Subscription Agreement and also the net asset value per Share as at 31 December 2025. There is no theoretical dilution effect (as defined under Rule 7.27B of the Listing Rules). The Warrants will only become valuable to the Investor if the market price of the Shares exceeds the Warrant Exercise Price, which would reflect an improvement in the Company's performance and market valuation. Accordingly, any potential dilution resulting from the exercise of the Warrants would only occur in circumstances where Shareholders have benefited from an appreciation in the value of the Shares. The Board considers that the Warrant Exercise Price is fair and reasonable and is in the interests of the Shareholders of the Company as a whole.

Principal terms of the Warrants

Warrant Exercise Price:	HK$1.97 per Share (subject to adjustments for the capital reorganisation and issue of securities (as detailed in the sub-section "Adjustments" below))
Subscription period:	For a period of 18 months after the issue of the Warrants
Transferability:	The holder of the Warrants shall transfer or assign the Warrant without the consent of the Company, save that any transfer or assignment shall be subject to and comply with the restrictions set forth in the Warrant, particularly, restriction on transfer or assign to connected persons of the Company
Ranking of the Warrant Shares:	The Warrant Shares, when allotted and issued, will rank *pari passu* in all respects among themselves and with all other Shares then in issue
Liquidation of the Company:	In the event of liquidation of the Company, the Company shall serve notice to the Investor for the cancellation of the Warrants, and all other rights and obligations of the unexercised Warrants shall cease
Dividends and Other Distributions:	Holders of Warrants are not entitled to dividends or other distributions declared, made or paid by the Company. Warrant Shares allotted pursuant to an exercise notice will not rank for any dividends or other distributions declared made or paid on the Shares for which the record date is a date prior to the effective date of allotment of the Warrant Shares
Offers of further securities:	there is no provision to extend the offers of further securities of the Company to the holder of the Warrants of the Company

Warrant Instrument

The Company shall create the Warrants by way of a deed poll instrument. The principal terms and conditions of the Warrants are set forth below:

Issuer:

The Company

Number of Warrants:

The Warrants are exercisable into 31,000,000 Warrant Shares at the Warrant Exercise Price of HK$1.97 per Share (subject to adjustments)

Exercisable Period:

The Warrant may be exercised by the holder, in whole or in part, at any time during the period from the date of issue of the Warrants (which shall be the same date as the allotment and issue of the Subscription Shares) (the "**Issue Date**") and expiring on the eighteen (18) months after the Issue Date

Adjustments:

The Warrant Exercise Price and the number of Warrant Shares will be subject to adjustment from time to time as follows:

(a) If, at any time or from time to time on or after the Issue Date, there shall be an alteration to the nominal value of the Shares as a result of the consolidation or subdivision thereof, the Warrant Exercise Price shall be adjusted by multiplying the Warrant Exercise Price in force immediately before such alteration by the following fraction:

$$\frac{A}{B}$$

where:

A equals the nominal amount of one Share immediately after such alteration; and

B equals the nominal amount of one Share immediately before such alteration.

Such adjustment shall become effective on the date on which the alteration takes effect.

(b) If, at any time or from time to time on or after the Issue Date, the Company shall issue any securities (other than Shares or options, warrants or other rights to subscribe for or purchase or otherwise acquire any Shares) to Shareholders as a class by way of rights or grant to Shareholders as a class by way of rights any options, warrants or other rights to subscribe for or purchase or otherwise acquire any securities (other than Shares or options, warrants or other rights to subscribe for or purchase Shares) then, on the occasion of each such issue or grant, the Company shall either:

(i) adjust the Warrant Exercise Price by multiplying the Warrant Exercise Price in force immediately prior to such issue or grant by the following fraction:

$$\frac{A - B}{A}$$

where:

A equals the Current Market Price of a Share on the date on which the terms of such offer or grant are publicly announced; and

B equals the fair market value on the date of such announcement of the portion of the rights attributable to one Share; or

(ii) make a like issue or grant of options, rights, warrants or securities to each holder of the Warrant as if each holder of the Warrant had submitted an exercise notice in respect of the entire Warrant on the record date applicable to such issue or grant at the Warrant Exercise Price per Warrant Share then applicable.

Such adjustment shall become effective on the date on which the issue or grant is made.

(c) If, at any time or from time to time on or after the Issue Date, the Company shall issue Shares to Shareholders by way of rights, or issue or grant to Shareholders as a class by way of rights, options, warrants or other rights to subscribe for or purchase any Shares, in each case at less than the Relevant Price, the Warrant Exercise Price shall be adjusted by multiplying the Warrant Exercise Price in force immediately prior to such issue or grant by the following fraction:

$$\frac{A + B}{A + C}$$

where:

A equals the number of Shares in issue immediately before such announcement;

B equals the number of Shares which the aggregate amount (if any) payable for the Shares being issued by way of rights, or for the options or warrants or other rights being issued by way of rights and for the total number of Shares comprised therein would purchase at the Relevant Price; and

C equals the number of Shares being issued or, as the case may be, comprised in the grant.

Such adjustment shall be effective from the date of such issue or grant.

(d) If, at any time or from time to time on or after the Issue Date, the Company shall issue any Shares credited as fully paid to the Shareholders by way of capitalisation of profits or reserves (including any share premium account or capital redemption reserve), other than to the extent that any such Shares are issued instead of the whole or part of a cash dividend, the Warrant Exercise Price shall be adjusted by multiplying the Warrant Exercise Price in force immediately prior to such issue by the following fraction:

$$\frac{A}{B}$$

where:

A equals the aggregate nominal amount of the issued Shares immediately before such issue; and

B equals the aggregate nominal amount of the issued Shares immediately after such issue.

Such adjustment shall become effective on the date of issue of such Shares.

(e) If, at any time or from time to time on or after the Issue Date, the Company shall pay or make any capital distribution to the Shareholders, the Warrant Exercise Price shall be adjusted by multiplying the Warrant Exercise Price in force immediately prior to such capital distribution by the following fraction:

$$\frac{A - B}{A}$$

where:

A equals the Current Market Price of one Share on the first public announcement of the relevant capital distribution or, in the case of a spin-off, is the mean of the average prices of a Share for the five consecutive trading days ending on the trading day immediately preceding the date on which the Shares are traded ex- the relevant spin-off; and

B equals the portion of the fair market value of the capital distribution attributable to one Share, determined by dividing the fair market value of the aggregate capital distribution by the number of Shares entitled to receive the capital distribution.

Such adjustment shall become effective on the date on which such capital distribution is made or if later, the first date upon which the fair market value of the capital distribution is capable of being determined as provided herein.

(f) If, at any time or from time to time on or after the Issue Date, the Company shall issue wholly for cash or for no consideration any Shares (other than Shares issued upon exercise of the Warrants) or issue or grant wholly for cash or for no consideration any options, warrants or other rights to subscribe for or purchase any Shares, at a price per Share which is less than the Relevant Price, the Warrant Exercise Price shall be adjusted by multiplying the Warrant Exercise Price in force immediately prior to such issue or grant by the following fraction:

$$\frac{A + B}{A + C}$$

where:

A equals the number of Shares in issue immediately before the issue of such Shares or the grant of such options, warrants or rights;

B equals the number of Shares which the aggregate consideration (if any) receivable for the issue of such additional Shares or, as the case may be, for the Shares to be issued or otherwise made available upon the exercise of any such options, warrants or rights, would purchase at the Relevant Price; and

C equals the number of Shares to be issued pursuant to such issue or, as the case may be, the maximum number of Shares which may be issued upon exercise of such options, warrants or rights.

Such adjustment shall become effective on the date of issue of such additional Shares or, as the case may be, the grant of such options, warrants or rights.

(g) If, at any time or from time to time on or after the Issue Date, the Company or any subsidiary or (at the direction or request of or pursuant to any arrangements with the Company or any subsidiary) any other person shall issue wholly for cash or for no consideration any securities (or enter into any contractual arrangements which would have an equivalent economic effect of issuing securities) which by their terms of issue carry (directly or indirectly) rights of conversion into, or exchange or subscription for, Shares (other than Shares already in issue at the time of the issue of the securities referred to) (or shall grant any such rights in respect of existing securities so issued) or securities which by their terms might be redesignated as Shares, and the consideration per Share receivable upon conversion, exchange, subscription or redesignation is less than the Relevant Price, the Warrant Exercise Price shall be adjusted by multiplying the Warrant Exercise Price in force immediately prior to such issue (or grant) by the following fraction:

$$\frac{A + B}{A + C}$$

where:

A equals the number of Shares in issue immediately before such issue or grant (but where the relevant securities carry rights of conversion into or rights of exchange or subscription for Shares which have been issued by the Company for the purposes of or in connection with such issue, less the number of such Shares so issued);

B equals the number of Shares which the aggregate consideration (if any) receivable for the Shares to be issued or otherwise made available upon conversion or exchange or upon exercise of the right of subscription attached to such securities or, as the case may be, for the Shares to be issued or to arise from any such redesignation would purchase at the Relevant Price; and

C equals the maximum number of Shares to be issued or otherwise made available upon conversion or exchange of such securities or upon the exercise of such right of subscription attached thereto at the initial conversion, exchange or subscription price or rate or, as the case may be, the maximum number of Shares which may be issued or arise from any such redesignation,

provided that if at the time of issue of the relevant securities or date of grant of such rights (the "**(g) Specified Date**") such number of Shares is to be determined by reference to the application of a formula or other variable feature or the occurrence of any event at some subsequent time (which may be when such securities are converted or exchanged or rights of subscription are exercised or, as the case may be, such securities are redesignated or at such other time as may be provided) then "C" shall be determined by the application of such formula or variable feature or as if the relevant event occurs or had occurred and as if such conversion, exchange, subscription, purchase or acquisition or, as the case may be, redesignation had taken place on (g) Specified Date.

Such adjustment shall become effective on the date of issue of such securities or, as the case may be, the grant of such rights.

(h) If, at any time or from time to time on or after the Issue Date, there shall be any modification of the rights of conversion, exchange or subscription attaching to any such securities (other than in accordance with the terms (including terms as to adjustment) applicable to such securities upon issue) so that following such modification the consideration per Share receivable has been reduced and is less than the Relevant Price, the Warrant Exercise Price shall be adjusted by multiplying the Warrant Exercise Price in force immediately prior to such modification by the following fraction:

$$\frac{A + B}{A + C}$$

where:

A equals the number of Shares in issue immediately before such modification (but where the relevant securities carry rights of conversion into or rights of exchange or subscription for Shares which have been issued by the Company for the purposes of or in connection with such issue, less the number of such Shares so issued);

B equals the number of Shares which the aggregate consideration (if any) receivable for the Shares to be issued or otherwise made available upon conversion or exchange or upon exercise of the right of subscription attached to the securities so modified would purchase at the Relevant Price; and

C equals the maximum number of Shares which may be issued or otherwise made available upon conversion or exchange of such securities or upon the exercise of such rights of subscription attached thereto at the modified conversion, exchange or subscription price or rate but giving credit in such manner as an independent investment bank of international repute, selected by the Company and approved in writing by the majority holders within five Business Days of a written request for such approval from the Company shall, acting as an expert, consider appropriate for any previous adjustment under paragraphs (h) or (g),

provided that if at the time of such modification (the "**(h) Specified Date**") such number of Shares is to be determined by reference to the application of a formula or other variable feature or the occurrence of any event at some subsequent time (which may be when such securities are converted or exchanged or rights of subscription are exercised or at such other time as may be provided) then for the purposes of paragraph (h), "C" shall be determined by the application of such formula or variable feature or as if the relevant event occurs or had occurred as at the (h) Specified Date and as if such conversion, exchange or subscription had taken place on the (h) Specified Date.

Such adjustment shall become effective on the date of modification of the rights of conversion, exchange or subscription attaching to such securities.

(i) If, at any time or from time to time on or after the Issue Date, the Company or any subsidiary or (at the direction or request of or pursuant to any arrangements with the Company or any Subsidiary) any other person shall offer any securities in connection with which offer Shareholders as a class are entitled to participate in arrangements whereby such securities may be acquired by them (except where the Warrant Exercise Price falls to be adjusted or an offer falls to be made to holders the Warrants under paragraphs (b), (c), (d), (e), (f) or (g), or would fall to be so adjusted or made if the relevant issue or grant was at less than the Relevant Price) the Warrant Exercise Price shall be adjusted by multiplying the Warrant Exercise Price in force immediately before the making of such offer by the following fraction:

$$\frac{A - B}{A}$$

where:

A equals the Current Market Price of one Share on the date on which the terms of such offer are first publicly announced; and

B equals the fair market value on the date of such announcement of the portion of the relevant offer attributable to one Share.

Such adjustment shall become effective on the first date on which the Shares are traded exrights on the Stock Exchange.

'Current Market Price' in respect of a Share at a particular date, means the average of the volume weighted average price for a Share on the Stock Exchange for the five consecutive trading days immediately preceding such date. Volume weighted average price is a trading indicator that represents the true average price a Share has traded at throughout the day, factoring in both the price and the number of shares (volume) traded at each price point.

No adjustment will be made to the Warrant Exercise Price or the number of Warrant Shares solely as a result of the issue of Shares by way of a scrip dividend or the payment or making of any ordinary cash dividend by the Company to the Shareholders. This reflects the terms of the Warrants under which holders of Warrants are not entitled to participate in dividends or distributions unless and until the Warrants are exercised, and Warrant Shares will only rank for dividends with a record date falling on or after the relevant exercise date.

In addition, while an issue of Shares by way of capitalisation of profits or reserves would ordinarily trigger an adjustment under the Warrant conditions, Shares issued in lieu of the whole or part of a cash dividend (including scrip dividends) are carved out from such adjustment mechanism and do not, in themselves, result in any adjustment.

Notwithstanding the above, where the Company pays or makes a "capital distribution" (as defined in the instrument of the Warrants to include any dividend that is extraordinary in nature or exceeds ordinary course distributions based on a prescribed formula), the Warrant Exercise Price will be adjusted in accordance with the adjustment mechanism (e) as disclosed.

The Directors are of the view that, notwithstanding the absence of adjustments in respect of ordinary cash dividends and scrip dividends, the arrangement remains in the interests of the Company and its Shareholders as a whole.

IMPLICATIONS UNDER THE LISTING RULES

Pursuant to Rule 15.02(1) of the Listing Rules, the Warrant Shares to be allotted and issued upon exercise of the Warrants must not, when aggregated with all other equity securities remain to be issued on the exercise of any other subscription rights, if all such rights were immediately exercised, whether or not such exercise is permissible, exceed 20% of the issued share capital of the Company at the time the Warrants are issued. Options granted under share option schemes which comply with Chapter 17 of the Listing Rules are excluded for the purpose of such limit. As at the Latest Practicable Date, save for there are outstanding 20,373,748 options granted under the 2013 Share Option Scheme and 50,619,358 award shares granted under the Share Award Scheme, there is no other securities with subscription rights outstanding and not yet exercised. Assuming full exercise of the subscription rights attaching to the Warrants at the Warrant Exercise Price of

HK$1.97, a maximum of 31,000,000 Warrant Shares will be allotted and issued, representing (i) approximately 3.27% of the existing issued Shares (excluding 2,898,000 Treasury Shares) as at the Latest Practicable Date; (ii) approximately 3.16% of the issued Shares (excluding 2,898,000 Treasury Shares) as enlarged by the allotment and issue of the Warrant Shares, and (iii) approximately 3.14% of the issued Shares (excluding 2,898,000 Treasury Shares) as enlarged by the allotment and issue of the Warrant Shares and the Subscription Shares (as for illustrative purpose only); (iv) approximately 2.93% of the total issued Shares (excluding 2,898,000 Treasury Shares) as enlarged by the allotment and issue of the Subscription Shares and the Placing Shares; and (v) approximately 2.85% of the total issued Shares (excluding 2,898,000 Treasury Shares) as enlarged by the allotment and issue of the Subscription Shares, the Placing Shares and the Warrant Shares upon exercise of the subscription rights attached to the Warrants in full. Accordingly, the issue of the Warrants will be in compliance with Rule 15.02(1) of the Listing Rules.

Conditions of the First Subscription

The completion of the First Subscription is conditional upon the satisfaction of the following conditions:

(1) the Shareholders having approved at the EGM the First Subscription Agreement and the transactions contemplated thereunder including the issue and allotment of the Subscription Shares, the Warrants and the Warrant Shares upon exercise of the subscription rights attached to the Warrants; and

(2) the Listing Committee of the Stock Exchange having granted the approval for the listing of, and permission to deal in, the Subscription Shares and the Warrant Shares on the Stock Exchange (and such listing approval not subsequently being revoked prior to completion of the First Subscription Agreement).

There is no specific long stop date for completion of the First Subscription. The entering into the First Subscription was determined based on the overall strategic development of both parties, and the completion of the First Subscription is also depending on the Investor's fund management process, and therefore, the parties have not agreed on a specific longstop date of the First Subscription. However, the Directors, expected that (i) completion of the First Share Subscription shall take place within three months upon approval being obtained from the Shareholders at the EGM, and (ii) completion of the Issue of Warrants shall take place simultaneously upon fulfilment of all the conditions precedent.

If the parties fail to complete the First Shares Subscription within three months after approval being obtained from the Shareholders at the EGM, the Company will further negotiate with the Investor (i) on the reason of failing to complete and (ii) to revise the terms on a reasonable manner, and to re-comply with the relevant Listing Rules requirement including seeking approval of the Shareholders.

The Warrants are exercisable for a period of eighteen (18) months after the issue of the Warrants to the Investor, i.e. the Warrants shall be expired after 18 months from its issue date.

Listing Application

An application will be made by the Company to the Listing Committee of the Stock Exchange for the listing of, and permission to deal in, the Subscription Shares and the Warrant Shares on the Stock Exchange. No listing of the Warrants will be sought on the Stock Exchange or any other stock exchanges.

Completion of the First Subscription

Completion of the First Subscription shall take place on a date to be agreed by the parties in writing subject to fulfilment of the conditions precedent as set out above.

INFORMATION ON THE INVESTOR AND GYBL

The Investor is an alternative investment fund under Global Emerging Markets Group ("**GEM Group**"), which focuses on investing in emerging market economies. GEM Group is a US$3.4 billion alternative investment group based in Paris, New York and the Bahamas. It manages a diverse set of investment vehicles across the world. Each investment vehicle has a different degree of operational control, risk-adjusted return and liquidity profile. Their family of funds and investment vehicles provide the Investor and its partners with exposure to Small-Mid Cap Management Buyouts, Private Investments in Public Equities (PIPEs), and select venture investments. The Investor is managed by Mr. Christopher Brown, who is the founder of Global Emerging Markets North America, Inc. Through GEM Investments America LLC, Mr. Brown oversees the New York office and manages private placements on a global basis for the GEM Group.

GYBL is a subsidiary of the GEM Group, and was the coordinator for the negotiation of the terms and conditions of the Share Subscription Facility Agreement.

To the best of the Directors' knowledge, information and belief having made all reasonable enquiries, Mr. Christopher Brown is independent of the Company and connected persons of the Company (as defined in the Listing Rules).

PLACING OF NEW SHARES UNDER SPECIFIC MANDATE

THE PLACING AGREEMENT

On 20 January 2026 (after trading hours of the Stock Exchange), the Company entered into the Placing Agreement with the Placing Agent in relation to the Placing (as supplemented by the Supplemental Placing Agreement). Pursuant to the Supplemental Placing Agreement to the Placing Agreement, the Company and the Placing Agent agreed to (1) amend the Placing Price from HK$0.85 to HK$0.52 per Placing Share; (2) amend the number of Placing Shares from 60,000,000 Shares to 100,000,000 Shares; and (3) adjust the placing commission from 3% to 2.5%. Save for the change of the Placing Price, the number of Placing Shares and the Placing commission rate, other terms and conditions of the Placing Agreement remains unchanged.

The principal terms and conditions of the Placing Agreement (as supplemented by the Supplemental Placing Agreement) are as follows:

Date

20 January 2026 (after trading hours of the Stock Exchange) (as supplemented by the Supplemental Placing Agreement dated 17 July 2026)

Parties

(1) The Company as issuer; and

(2) The Placing Agent as placing agent

The Placing Agent

To the best of the knowledge, information and belief of the Directors, having made all reasonable enquiries, the Placing Agent and its ultimate beneficial owners are Independent Third Parties.

Pursuant to the terms of the Placing Agreement (as supplemented by the Supplemental Placing Agreement), the Placing Agent will charge a placing commission of 2.5% of the aggregate amount of the Placing Price multiplied by the actual number of the Placing Shares placed by the Placing Agent.

The placing commission was negotiated on arm's length basis between the Company and the Placing Agent, and was determined with reference to, among other things, the prevailing commission rate charged by other placing agents, the size of the Placing and the price performance of the Shares.

Due to the uncertain and volatile market environment, the price of the Shares showed a declining trend during the six-month period prior to the date of entering into the Supplemental Placing Agreement. During the six-month period prior to the date of the Supplemental Placing Agreement, the Share price fell from the highest of HK$0.94 per Share on 19 January 2026 to HK$0.495 on 17 July 2026, being the date of entering into the Supplemental Placing Agreement, representing a decrease of about 47% from 19 January 2026 at HK$0.94 per Share.

The Board has taken into consideration the commission rate in two previous successful placings conducted by the Placing Agent for the Company in 2025, both of which were at a rate of 3% which is higher than the current commission rate of 2.5%. In addition, the Company has made reference to the placing of new shares of other listed companies from 25 June 2026 to 17 July 2026, being the 3-week period immediately preceding and including the date of entering into of the Supplemental Placing Agreement (the "**Reference Period**"). As indicated in the relevant announcements of other listed companies (as below), the placing commission charged by other placing agents ranged from 0.75% to 3% during the Reference Period. Therefore, the 2.5% revised commission rate for the Placing falls within this range and are comparable to the average of 1.74%. Set out below is the information of the comparable.

Date of the announcement	Stock code	Company name	Commission	Fund to be raised	(Discount)/ Premium vs last trading day
			(%)	*(HK$ million)*	*(%)*
17/7/2026	2369	Coolpad Group Limited	1.75	34.98	-15.87
17/7/2026	1870	Acme International Holdings Limited	1.50	10.00	-5.66
15/7/2026	9689	JTF International Holdings Limited	2.00	128.34	0.00
15/7/2026	979	Green Energy Group Limited	2.00	54.25	31.15
15/7/2026	8401	Hua Xia Water Group Limited	3.00	3.52	-18.75
14/7/2026	643	Carry Wealth Holdings Limited	1.00	29.69	0.00
13/7/2026	8377	Harbour Equine Holdings Limited	2.00	7.86	-14.89
8/7/2026	8367	Simplicity Holding Limited	1.00	2.50	-18.38
6/7/2026	1985	Microware Group Limited	1.00	100.50	-3.20
6/7/2026	8340	Zijing International Financial Holdings Limited	2.50	5.73	-14.00
3/7/2026	8239	Capital Finance Holdings Limited	2.30	120.75	-19.50
30/6/2026	1950	Diwang Industrial Holdings Limited	1.00	6.26	-17.92
29/6/2026	2028	Jolimark Holdings Limited	2.00	88.25	-19.10
25/6/2026	8620	Asia-express Logistics Holdings Limited	1.00	8.87	-18.40
25/6/2026	1156	China New Energy Limited	3.00	20.41	-15.61
25/6/2026	1943	King's Stone Holdings Group Limited	0.75	109.12	-18.57
		Average:	1.74		-10.53
		Median:	1.88		-15.74
		The Company	2.5	52.00	

Given the volatile market environment and the declining trend of the Company's Share price during the six months up to and including the entering into the Supplemental Placing Agreement, the Board considers that a shorter, more immediate Reference Period provides a more accurate reflection of the prevailing market commission rates and investor appetite for similar fundraising exercises at the material time. The Reference Period represents the most recent and relevant market conditions prior to the entering into the Supplemental Placing Agreement.

On a best-effort basis, the Company has identified 16 comparables that conducted placings of new shares during the Reference Period. These 16 comparables represent an exhaustive list of all placing announcements published on the Stock Exchange's website during the Reference Period that (i) involved the issuance of new shares for cash, and (ii) explicitly disclosed the specific placing commission rate in their respective announcements. The Directors consider that the Reference Period covering a 3-week period is sufficient to demonstrate the fair and reasonableness of the placing commission.

Based on the 16 exhaustive comparables identified, the placing commissions ranged from 0.75% to 3%. The average placing commission was approximately 1.74%, and the median was approximately 1.88%.

The Board considers the placing commission of 2.5% is on normal commercial terms, fair and reasonable based on the following basis:

Market Range:	Although the rate is slightly higher than the average and median of the comparables, it remains well within the range (0.75% to 3%) of market precedents during the Reference Period.
Specific Risk Factors:	The Board factored in (i) the continuous downward trend of the Share price, (ii) the low liquidity of the Shares with monthly average trading volume ranging from 0.149% to 0.33% three months prior to the date of the Supplemental Placing Agreement, and (iii) the fact that the Placing Price was at premium over the closing price on the last trading day than most comparable.
Historical Rate:	The commission rate is lower than the Company's two previous successful placings in 2025 of 3%, reflecting a long term and arm's length commercial relationship with the Placing Agent.
Arm's Length Negotiation:	The terms were determined after considering the size of the Placing and the prevailing difficult market sentiment.

The Directors consider that the terms of the Placing, including the placing commission, are fair and reasonable based on the current market conditions and the Placing is in the interests of the Company and the Shareholders as a whole.

Number of the Placing Shares

The Placing Agent has conditionally agreed to act as agent of the Company to procure, on a best effort basis, not less than six Placees who and whose ultimate beneficial owners shall be Independent Third Parties to subscribe for up to 100,000,000 new Shares at the Placing Price (excluding the Stock Exchange trading fee, SFC transaction levy, CCASS stock settlement fee and brokerage as may be payable by the Placees), upon the terms and subject to the conditions set out in the Placing Agreement (as supplemented by the Supplemental Placing Agreement).

The Placing Shares represents: (a) approximately 10.54% of the total existing issued Shares as at the Latest Practicable Date (excluding 2,898,000 Treasury Shares); (b) approximately 9.53% of the total issued Shares (excluding 2,898,000 Treasury Shares) as enlarged by the allotment and issue of the Placing Shares (assuming there will be no change to the total number of Shares in issue from the Latest Practicable Date to the Placing Completion Date other than the issue by the Company of the Placing Shares); (c) approximately 9.46% of the total issued Shares (excluding 2,898,000 Treasury Shares) as enlarged by the allotment and issue of the Subscription Shares and the Placing Shares; and (d) approximately 9.19% of the total issued Shares (excluding 2,898,000 Treasury Shares) as enlarged by the allotment and issue of the Subscription Shares, the Placing Shares and the Warrant Shares upon exercise of the subscription rights attached to the Warrants in full.

Ranking of the Placing Shares

The Placing Shares will rank *pari passu* in all respects among themselves and with the other existing Shares upon issuance.

Placees

The Placing Shares are expected to be placed to not less than six Placees, who and whose respective ultimate beneficial owners are Independent Third Parties.

Placing Price

The Placing Price is HK$0.52 per Placing Share and represents:

(i) a premium of approximately 6.12% over the closing price of HK$0.490 per Share as quoted on the Stock Exchange on the Latest Practicable Date;

(ii) a premium of approximately 5.05% over the closing price of HK$0.495 per Share as quoted on the Stock Exchange on the date of the Supplemental Placing Agreement;

(iii) a premium of approximately 7.44% over the average closing price of approximately HK$0.484 per Share as quoted on the Stock Exchange for the last five consecutive trading days immediately prior to the date of the Supplemental Placing Agreement;

(iv) a premium of approximately 6.55% over the average closing price of approximately HK$0.488 per share as quoted on the Stock Exchange for the last ten consecutive trading days immediately prior to the date of the Supplemental Placing Agreement;

(v) a premium of approximately 237.66% over the unaudited consolidated net asset value per Share attributable to the Shareholders as at 30 June 2025 of approximately HK$0.154 per Share as set out in the interim report of the Company for the six months ended 30 June 2025 (based on the value of net asset and the number of Shares of the Company (excluding Treasury Shares) as at the Latest Practicable Date);

(vi) a premium of approximately 195.45% over the audited consolidated net asset value per Share attributable to the Shareholders as at 31 December 2025 of approximately HK$0.176 per Share as set out in the annual report of the Company for the year ended 31 December 2025 (based on the value of net asset and the number of Shares of the Company (excluding Treasury Shares) as at the Latest Practicable Date); and

(vii) there was no theoretical dilution effect (as defined under Rule 7.27B of the Listing Rules) as the theoretical diluted price of approximately HK$0.4974 per Share is higher than the benchmarked price of approximately HK$0.495 per Share (as defined under Rule 7.27B of the Listing Rules), as calculated taking into account the higher of (a) the closing price of the Shares as quoted on the date of the Supplemental Placing Agreement of HK$0.495 per Share, and (b) the average of the closing prices of the Shares as quoted on the Stock Exchange for the five consecutive trading days immediately prior to the date of the Supplemental Placing Agreement of HK$0.484 per Share.

There is no cumulative dilution (as defined under Rule 7.27B of the Listing Rules) in aggregation with the issue of the Subscription Shares.

The net Placing Price (after deducting the costs and expenses of the Placing) is approximately HK$0.5055 per Placing Share. Based on the nominal value of HK$0.04 per Share, the maximum aggregate nominal value of the Placing Shares is HK$4 million.

The Placing Price was negotiated on an arm's length basis between the Company and the Placing Agent after taking into account factors including the recent declining market price of the Shares during the six-month period prior to the date of entering into the Supplemental Placing Agreement and the current market conditions. However, the Placing Price represents a premium over the latest benchmark price of the Shares and also represents substantial premium over the net asset value per Share as at 30 June 2025 and 31 December 2025 as well as there was no theoretical dilution effect (as defined under Rule 7.27B of the Listing Rules). In addition, the net proceeds from the Placing will strengthen the Group's financial position and provide additional working capital to support its business development. The Board is therefore of the view that the Placing Price is fair and reasonable and in the interests of the Company and the Shareholders as a whole.

Conditions of the Placing

The Placing Completion is conditional upon the satisfaction of the following conditions:

(1) the Shareholders having approved at the EGM the Placing Agreement (as supplemented by the Supplemental Placing Agreement) and the transactions contemplated thereunder (including the grant of the Specific Mandate);

(2) the Listing Committee of the Stock Exchange having granted the approval for the listing of, and permission to deal in, the Placing Shares on the Stock Exchange (and such listing approval not subsequently being revoked prior to Placing Completion);

(3) all necessary consents and approvals to be obtained on the part of each of the Placing Agent and the Company in respect of the Placing Agreement (as supplemented by the Supplemental Placing Agreement) and the transactions contemplated hereunder having been obtained; and

(4) the Placing Agreement (as supplemented by the Supplemental Placing Agreement) not having been terminated in accordance with the terms of the Placing Agreement (as supplemented by the Supplemental Placing Agreement).

If any of the conditions precedent above is not fulfilled at or before the 21st day after the EGM convening for the purpose of approving the Placing Agreement (as supplemented by the Supplemental Placing Agreement) (“**Placing Long Stop Date**”), the Placing Agreement (as supplemented by the Supplemental Placing Agreement) shall lapse and become null and void and the Company and the Placing Agent shall be released from all obligations thereunder, save the liabilities for any antecedent breaches thereof.

None of the above conditions can be waived.

The Company will seek Shareholders’ approval for extension of the Placing Long Stop Date.

As at the Latest Practicable Date, none of the conditions above has been fulfilled.

Application for listing

Application will be made by the Company to the Listing Committee of the Stock Exchange for the grant of the listing of, and the permission to deal in, the Placing Shares.

Completion

Placing Completion shall take place at 4:00 p.m. on the Placing Completion Date after the fulfilment of the conditions as set out in paragraph headed “Conditions of the Placing” above.

Termination

The Placing Agent may, by giving a written notice to the Company, at any time prior to the Placing Completion Date provided that such notice is received prior to 8:00 a.m. on the Placing Completion Date if there develops, occurs or comes into force:

(a) the occurrence of any event, development or change (whether or not local, national or international or forming part of a series of events, developments or changes occurring or continuing before, on and/or after the date of the Placing Agreement (as supplemented by the Supplemental Placing Agreement)) and including an event or change in relation to or a development of an existing state of affairs of a political, military, industrial, financial, economic, fiscal, regulatory or other nature, resulting in a change in, or which may result in a change in, political, economic, fiscal, financial, regulatory or stock market conditions and which in the Placing Agent’s absolute opinion would adversely affect the success of the Placing; or

(b) the imposition of any moratorium, suspension (for more than seven (7) trading days) or restriction on trading in the securities generally on the Stock Exchange occurring due to exceptional financial circumstances or otherwise and which in the Placing Agent’s absolute opinion, would adversely affect the success of the Placing; or

(c) any new law or regulation or change in existing laws or regulations or any change in the interpretation or application thereof by any court or other competent authority in Hong Kong or any other jurisdiction relevant to the Group and if in the Placing Agent’s absolute opinion any such new law or change may adversely affect the business or financial prospects of the Group and/or the success of the Placing; or

(d) any litigation or claim being instigated against any member of the Group, which has or may have an adverse effect on the business or financial position of the Group and which in the Placing Agent's absolute opinion would adversely affect the success of the Placing; or

(e) any material adverse change in the business or in the financial or trading position or prospects of the Group as a whole; or

(f) any breach of any of the representations and warranties set out in the Placing Agreement (as supplemented by the Supplemental Placing Agreement) comes to the knowledge of the Placing Agent or any event occurs or any matter arises on or after the date of the Placing Agreement (as supplemented by the Supplemental Placing Agreement) and prior to the Placing Completion Date which if had occurred or arisen before the date of the Placing Agreement (as supplemented by the Supplemental Placing Agreement) would have rendered any of such representations and warranties untrue or incorrect or there has been a breach by the Company of any other provision of the Placing Agreement (as supplemented by the Supplemental Placing Agreement); or

(g) there is any material change (whether or not forming part of a series of changes) in market conditions which in the absolute opinion of the Placing Agent would materially and prejudicially affect the Placing or makes it inadvisable or inexpedient for the Placing to proceed.

Upon termination of the Placing Agreement (as supplemented by the Supplemental Placing Agreement), the Placing Agreement (as supplemented by the Supplemental Placing Agreement) shall thereupon cease to have effect and none of the parties shall have any rights or claims by reason thereof save for any rights or obligations which may accrue under the Placing Agreement (as supplemented by the Supplemental Placing Agreement) prior to such termination.

Specific Mandate to issue the Placing Shares

The Placing Shares will be allotted and issued under the Specific Mandate to be sought at the EGM.

REASONS FOR THE FIRST SUBSCRIPTION AND THE PLACING AND USE OF PROCEEDS

The Group is principally engaged in (i) apparel operation; (ii) money lending operation; and (iii) IP application and products operation.

Due to market factors, traditional businesses have shrunk in recent years. The Group is currently actively expanding its IP business and integrating it with its apparel business, incorporating more technological capabilities to seek new growth points.

Currently, the Group's IP business primarily operates under a traditional model, employing an operational system of "intellectual property licensing – product design and development – OEM manufacturing – product sales". The IP domains are primarily on sports, supplemented by general entertainment (including but not limited to games, animation, and short films/TV series). Product categories may include clothing, figurines, cards, food, and IP gold products. To maintain market competitiveness and drive business growth, the Company believes it is necessary to actively expand its IP reserves and leverage technology to upgrade its existing business model.

While actively expanding its business, the Group continues to position itself as an IP service provider, extending its IP business from the original "product development of existing IPs" to the upstream of the industry chain. The core business, based on the aforementioned traditional model, is supplemented by more IP promotion and marketing services and membership operation services.

Regarding the preparation of business operations: The Group has established a joint venture with La Liga and obtained the relevant operating licenses for the La Liga club project. These include: platform and software operation licences, intellectual property derivatives sales licences, and membership ecosystem operation licences. The authorized geographical scope is limited to the PRC, where the Group can legally conduct operations, use of intellectual property rights, and commercial activities.

The La Liga project adopts an online and offline integrated business model. The La Liga Club was launched online on the Apple App Store on 28 August 2025. It is currently a trial version and in an invitation-only testing phase, and the app's functions are only being tested by specific members of La Liga Club who have obtained invitation codes. This is for testing the content and processes for official operation. After the commercial content is improved, it will be gradually rolled out to the public market in August 2026.

La Liga's offline operations mainly consist of IP-themed streets and pop-up stores, it refers to providing consumers with IP-related specific products and experiential services in specific areas such as pedestrian streets or seaside boardwalks through themed stores and mobile stalls. It may require permits for operating offline stores and stalls, as well as temporary building permits. Currently, we are in discussions and negotiations with cultural and tourism departments and related agencies in multiple locations regarding this business. The number and order of deployment of themed experience projects will be adjusted based on the approval and communication progress. It is expected that the first batch of experience projects will be in operation by the third or fourth quarter of 2026 at the latest.

Regarding specific products and services, the project will provide La Liga members and potential members with (1) physical products, including star player gold collectible cards, star player blind boxes, league mascot merchandise, etc.; and (2) a membership system and community services. This includes the establishment, identification, and distribution of benefits for super founding members and exclusive membership systems for each team and club. Membership benefits mainly include (but are not limited to): La Liga lucky gift packs, full-season viewing rights, exclusive customized jerseys, access to match information, priority purchase rights for official merchandise, and priority participation in online and offline fan activities. As of the Latest Practicable Date, the initial selection of the first batch of physical products has been completed, and small-scale testing is currently underway; membership benefit products are also planned to be launched in August 2026. It is estimated that the funds required for subsequent product investment and market promotion will be no less than RMB5 million, which will mainly come from the internal resources originally allocated to this project, and will be flexibly supplemented by the funds raised in the First Subscription and the Placing.

In terms of business innovation, the Company actively invests in technology development, integrating technological empowerment into its existing business models. Specific directions include, but not limited to:

(I) In the IP product design and R&D stage: 1) Utilizing Web3 blockchain technology to put intellectual property products on the blockchain, creating a unique, tamper-proof, and traceable digital identity for each product; 2) Empowering product digitization with AI and VR technologies. For example, when users scan intellectual property products such as sports collectible cards using a mobile application, the interface can play videos and animations and support real-time interaction.

(II) Digitalization of the operational model. During IP promotion and membership operation services, leveraging Web3 and AI technologies to empower and membership engagement activities. Such as membership identity management "on-chain" for using to identify members, confirm member benefits, and track transaction behavior, etc. and AI-powered data analytics which produces business insights that in turn drives more targeted promotional marketing to accurately push products and services to specific user categories.

The above technology-enabled services are value-added services for existing IP and are only provided to the owners and licensees of the corresponding IP rights.

Such technology applications are expected to ensure authenticity, traceability and standardized ownership of IP products to achieve secure digital IP management, addressing piracy and counterfeit issues through technological solutions, while bring more fun to IP products and strengthening user engagement loyalty, thereby further unleashing and elevating the intrinsic value of such IPs.

The funds raised through the First Subscription and the Placing will primarily be used for the Company's business expansion, technology investment, and daily operations. Regarding new business expansion, in addition to continuing to actively accumulate IP resources (such as Manchester United Sports IP and provincial football league IPs in China), the Company is also actively exploring upstream expansion into the industry through the Saudi Industrial IP project.

Namely "SMSC" (Smart Manufacturing and Super Complex) and "RAAS" (Robot As A Service). Anchored in the objectives of Saudi Vision 2030, a strategic framework first launched in 2016 aimed at diversifying the economy, modernizing society, and reducing dependence on oil while enhancing quality of life and global competitiveness of Saudi Arabia. We formulate and implement comprehensive IP service solutions in alignment with the authorization scope of the IP owner and its corresponding business needs. Please refer to the section headed "Usage of net proceeds from the issue of the Subscription Shares" and the paragraph of Saudi Industrial IP.

Usage of the net proceeds from the issue of the Subscription Shares

Upon completion of the First Share Subscription, the maximum gross proceeds from the issue of the Subscription Shares in full is expected to be approximately HK$6.8 million, the estimated expenses related to the First Share Subscription is HK$100,000, which will be borne by the Company. The Company intends to use the net proceeds of HK$6.7 million from the issue of the Subscription Shares for the following purposes;

(I) Approximately HK$4 million will be used for Saudi Industrial IP business. The Company has signed a cooperation agreement with the Saudi Arabian Ministry of Industry. The Company will act as a strategic partner, leveraging the Ministry of Industry's two major industrial IPs: "Smart Manufacturing and Super Complex (SMSC)" and "Robotics as a Service (RAAS)", whereby the Company will earn service fee from serving as the designated IP service provider for the Saudi Arabian side for a three-year cooperation period, offering comprehensive IP planning and implementation services to build SMSC and RAAS industrial IP from scratch. The cooperation will commence upon the completion of registration of the joint venture company which is expected to be registered in the third quarter of 2026.

SMSC is an industrial upgrading concept proposed by the Saudi Arabian Ministry of Industry based on the development goals of "Saudi Vision 2030." It mainly covers the intelligent upgrading of Saudi Arabia's domestic industries and the construction of urban complexes. As a Saudi Industrial IP service provider, the Company proposes the intelligent industrial IP concept of RAAS, focusing Saudi industrial IP content on industrial and office applications based on AI and robotics, and the industrial implementation of AI and robotics benchmark projects in Saudi Arabia. In this project, the Company primarily acts as an IP service provider, creating entirely new industrial IPs for clients from scratch and driving the implementation of benchmark projects within this IP framework. The Company's services include, but are not limited to, assisting clients in planning clear IP concepts and positioning, determining IP implementation content, conducting IP promotion and training, promote the application of artificial intelligence and robotics products under SMSC and RAAS, and facilitate the industrial presence of related enterprises in Saudi Arabia, creating benchmark projects for SMSC and RAAS, and other services related to IP commercialization.

At the request of the Saudi Ministry of Industry, the Company will establish a subsidiary in Saudi Arabia to promote this business locally. The Company had already provided preliminary services such as IP design and exhibition promotion to the Saudi Ministry of Industry, and was exploring cooperation models and plans based on this. Currently, apart from the initial business development and promotion service costs, no formal investment has been made in the Saudi Industrial IP business. The Company plans to initially invest HK$8 million for establishing a Saudi regional headquarters, setting up an operations team, expanding business, and establishing a project system. Out of the funds raised from the First Share Subscription, HK$4 million will be primarily used for setting up the team and initial project demonstration costs, with no less than HK$2.5 million will be allocated to the construction of a permanent exhibition hall and temporary exhibition setup.

Currently, the Saudi joint venture company is undergoing registration procedures. The overall service plan is expected to be finalized and signed in the third quarter of 2026, and subsequent progress will be made gradually based on the registration progress and the availability of funds. If financing proceeds smoothly, the Company will complete the establishment of the Saudi project company and sign the overall solution agreement in the third quarter of 2026. On-site research and benchmark solution design are expected to be completed by 2026, along with small-scale industry channel establishment and feasibility testing. Subsequent service delivery will be adjusted based on the Saudi side's funding arrangement and project progress.

(II) approximately HK$2.7 million for provision of general working capital of the Group, comprising (a) professional service fees including auditing, evaluation, legal, investor relations and corporate secretarial service fees; and (b) administrative expenses including rental and property management fees.

If the First Share Subscription lapse, the Company will consider other fund-raising including, but not limited to, issue of new Shares under available general mandate, rights issue, loans from banks or directors or issue of convertible securities to meet the funding requirements for contemplating the above projects.

Usage of the net proceeds from the issue of the Warrant Shares

Upon exercise of the subscription rights attached to the Warrants in full, the maximum aggregate gross proceeds from the issue of the Warrant Shares is expected to be approximately HK$61.07 million. The estimated amount of the expenses of the issue of the Warrant Shares is expected to be HK$1.07 million and is payable by the Company. Assuming the Warrants Shares are exercised in full and sufficient funds are raised after deducting relevant expenses, the net proceeds from the issuance of the Warrants Shares is expected to be approximately HK$60 million. The Company intends to use the net proceeds for the following purposes:

(i) Approximately 25% (i.e., HK$15 million) of the net proceeds will be used to advance existing business expansion projects for more products or services in sports IP that have been demonstrated to be feasible, primarily existing sports IP projects (including the La Liga club project).

The Company will allocate funds appropriately according to business development depending on the business plan and then market conditions, for joint product development and promotion of existing sports IP cooperation projects such as La Liga and Manchester United, as well as joint operations with domestic provincial football league IPs including the Greater Bay Hunanese football sports IP.

The Company intends to apply (a) HK$3 million for La Liga project, (b) HK$2 million for Manchester United project, and (c) HK$10 million for Hunanese football team project, including, but not limited to, football apparel, football star cards, and products and services related to live match attendance. The Greater Bay Area Hunanese Football project is set to launch in August 2026 with a small amount of initial investment. Should the project's operations during the 2026 season meet expectations, the Company and the partner will negotiate and plan to expand the joint initiatives for the 2027 season. These plans include, but not limited to, organizing additional inter-regional football tournaments and facilitating exchange and training sessions between star players and youth footballers, thereby leveraging increased investment and a broader range of events to enhance the IP's influence and value.

(ii) Approximately 33.3% (i.e., HK$20 million) of the net proceeds will be used to develop and/or identify future potential intellectual property licensing cooperation projects with promising investment returns in the consumer sectors of culture, sports, tourism, and healthcare.

When selecting partners and related intellectual property products, the Company mainly considers five directions: (i) intellectual property fields in which the Company has existing operational experience; (ii) intellectual property fields in which the Company possesses potential resources; (iii) intellectual property fields with strong development potential as determined by market research; (iv) product categories that have already been validated by the market; and (v) product categories with significant market potential as assessed by market research.

Currently, the Company is actively exploring and evaluating various cooperation opportunities, focusing on connecting with well-known provincial football league IP projects in China. Leveraging the popularity and consumer market base of provincial football leagues in China, the Company will develop online and offline products adapted to the local market and conduct marketing promotions and brand co-branding activities. The Company will flexibly adopt various operating models, including but not limited to: 1. IP acquisition and self-operation; 2. IP licensing and self-operation; 3. IP licensing and joint operation. As of the Latest Practicable Date, the Company has not finalized any specific intellectual property licensing cooperation arrangements and will proceed as and when appropriate.

(iii) Approximately 41.7%, (i.e., HK$25 million) of the net proceeds, will be used for general working capital purposes, such as expansion of in-house business operation team for financial, investor relations, marketing and daily operational roles.

The exercise of the subscription rights attaching to the Warrants significantly depends on the Company's Share price performance as well as the future prospects of the Group. With the implementation of the business plans as disclosed above, the Company anticipates that the Investor will exercise the Warrants within 12 months from the date of issue of the Warrants to demonstrate its support to the future development of the Group, including the operating capital needs of existing sports IPs for the 2027 season.

In the meantime, given that there is uncertainty if the Investor will exercise the subscription rights attaching to the Warrants, the Company will consider, as and when requires, to negotiate with the Investor as its long term strategic partner other fundraising alternatives, including, but not limited to, placements of new shares or issue of convertible notes to meet the funding needs.

Compared to placements of new shares and issue of convertible notes, the Board believes that, while respecting the principle of fairness, issuing Warrants helps the Company demonstrate sufficient confidence in its future prospects, allows the Company to lock in a more favorable exercise price in advance, and ensures a foreseeable total financing amount.

Further announcement will be made by the Company if there is any change in the business plan which leading to the change in the usage of the proceeds from the issue of the Warrants Shares.

Usage of the net proceeds from the Placing

Upon the Placing Completion, the maximum aggregate gross proceeds from the Placing is expected to be approximately HK$52.00 million. The estimated amount of the expenses for the issue of the Placing Shares is expected to be HK$1.45 million and is payable by the Company. The maximum net proceeds from the Placing (after deduction of the placing commission in respect of the Placing and other related expenses including, among others, the professional fees), is estimated to be approximately HK$50.55 million, representing a net issue price of approximately HK$0.5055 per Placing Share. The Group intends to apply the net proceeds as to:

(i) Approximately HK$5 million (9.9%) will be used for the initial development of the basic platform and the construction of artificial intelligence capabilities. This includes establishing a core technology team (planning to recruit 5-10 front-end developers, 5-10 back-end developers, and 5-10 blockchain engineers) and procuring external technical services. Simultaneously, the preliminary design and architecture of the platform infrastructure (user system, transaction engine) will be completed.

AI-related development work includes building AI data analysis models, establishing connection channels between various entities and the platform using technologies such as QR codes, and developing mobile applications. Once the aforementioned technology platform and AI technologies are implemented, they will fully support various business segments, including intellectual property digitization, product digitization, intellectual property membership system management, and intelligent marketing promotion.

After the completion of the Company's planned technology platform system, it will include, but is not limited to, a technical backend, an intellectual property user network and community, and intellectual property-specific applications and mini-programs.

In respect of the first phase of the initial platform development and the AI capability building, the Company's technology platform and AI infrastructure serve business needs. The initial development work will primarily focus on the needs of existing IP projects; subsequent phases will enrich existing IP content and diversify products and applications. The Company believes that this investment will effectively empower the development of its existing intellectual property business.

(ii) Approximately HK$10 million (19.8%) will be invested in Manchester United Sports intellectual property business, of which approximately HK$4 million will be used for Manchester United apparel customization, approximately HK$4 million for building and operating Manchester United e-commerce channels, and the remaining approximately HK$2 million for the research and development and marketing of other Manchester United intellectual property products.

Regarding Manchester United Sports intellectual property business, the Company has previously collaborated with Manchester United's mainland intellectual property licensor on apparel, involving product design, research and development, and production, with a positive market response. This business expansion will involve the Company collaborating with Manchester United's copyright holders in mainland China, Hong Kong, and Macau on Manchester United intellectual property-related business, covering intellectual property apparel, peripheral merchandise, and offline experience projects.

Currently, the Company is in in-depth discussions with Manchester United's intellectual property licensor. This business is expected to officially commence within the third to fourth quarter of 2026. The specific progress will be flexibly adjusted based on the availability of funds and the results of commercial negotiations.

If negotiations are unsuccessful, the proceeds will be used to expand other football IP projects in areas such as co-branded apparel and mascot merchandise.

(iii) Approximately HK$5 million (9.9%) will be invested in the sports IP business of the Hunan Football Team in the Greater Bay Area. The Company signed a letter of intent in June 2026 to invest RMB3 million (approximately HK$3.3 million) in the entity owning the Hunan Football Team in the Greater Bay Area, jointly creating a sports IP exclusively for Hunan in the Greater Bay Area. The invested funds will be specifically used for the operation of the Hunan football community and related events in the Greater Bay Area, IP development, brand promotion, team building, etc. The Hunan Football Team in the Greater Bay Area will participate in relevant events of the 2026 Hunan Provincial Football League. Based on the Hunan Provincial Football League schedule, the league season will open on 25 July 2026. The Company has completed its preliminary due diligence on the cooperation project. The Company is in the course of completing the internal investment review process, a formal investment agreement is expected to be signed in early August 2026, and thereafter the project will officially commence.

The remaining approximately HK$1.7 million will be used for the development of peripheral products and services related to the Hunanese Football IP in the Greater Bay Area, including IP-branded handicrafts, co-branded jerseys, spectator services, and other related products and services.

The Company will leverage the Hunanese football IP in the Greater Bay Area to explore the business expansion of local Chinese sports IP from scratch, and will, as the holder of the IP rights, own the complete operating rights of the IP in mainland China and Hong Kong Special Administrative Region.

(iv) Approximately HK$4 million (7.9%) will be used for the Saudi Industrial IP business. The Company has entered into a cooperation agreement with the Saudi Ministry of Industry, under which the Company will assist the Ministry of Industry in developing entirely new industrial IP from scratch, encompassing various IP-related services, of which approximately HK$2.5 million will be used for the construction and subsequent costs of the Saudi Industrial IP showcase project (including overall IP showcase design and video production, construction of intelligent product application scenarios and equipment and facilities, venue costs and local personnel salaries, etc.). The remaining HK$1.5 million will be used for operating cost of the Saudi Industrial IP Business, including for expanding professional teams, legal and other professional services, and daily operating expenses.

The initial investment for this project is estimated at HK$8 million, primarily for establishing the Saudi regional headquarters, building an operations team, expanding business, and developing a project system. For details regarding the Saudi industrial intellectual property business, please refer to the section headed "Usage of the net proceeds from the issue of Subscription Shares" above.

(v) approximately HK$3 million, or 5.9%, will be used for online and offline marketing and promotion, including La Liga projects, Manchester United apparel business, and Hunan football projects in the Greater Bay Area; promotion channels including, but not limited to, shopping mall electronic screens, station electronic screens, WeChat mini-program push, and other social media platform promotion; and

(vi) the remaining HK$23.55 million, or 46.6%, will be used as general working capital of the Group including headquarters daily operating expenses, professional service expenses, expansion of manpower, etc.

If the conditions precedent of the Placing have not been fulfilled or waived (as appropriate), and the Placing has not completed, the Company will consider other fund raising activities to raise funds to facilitate the above business plans including, but not limited to, (i) debt financing, (ii) equity fund raising including rights issue, open offer, or (iii) advance from shareholders or directors.

Before contemplating the First Subscription and the Placing, the Directors have considered other financing alternatives including (i) debt financing; and (ii) equity fund raising including rights issue. The Directors are of the view that (1) rights issue may not be able to raise sufficient funds in the case of weak market conditions with high fund raising cost including professional advisory fees, underwriting commissions, regulatory and administrative fees etc., (2) debt financing will increase the Group's gearing ratio, it will also increase the ongoing interest expenses of the Group which may in turn affect the profitability of the Company.

Having considered the business needs, the Company considered it is appropriate to contemplate the fundraising through the First Subscription and the Placing. At the business level, the Company expanded its IP portfolio in 2025, whereby, the Company invested certain funds and resources in expanding its IP reserves, product design and development, and market research and testing. Currently, the new La Liga project is approaching product launch and promotion.

As at the Latest Practicable Date, the Company has cash balance of approximately HK$6.4 million. The Company intends to use part of the available cash balance of approximately HK$3.8 million for business development. Funds have been allocated to a dedicated account for La Liga sports IP projects according to the original fundraising purposes, and will continue to be used for the development and related marketing of sports IP products, including premium IP products, IP apparel, and IP offline experience stores. It is estimated that approximately 60% will be used for product development, about 20% for marketing, and around 20% for other related purposes. Further funds are expected to be needed to accelerate business growth in marketing, and technology investment, and to quickly replicate and expand to new IP projects. Other projects, including the Saudi industrial IP project and the Manchester United IP project, also urgently require funding to facilitate their implementation.

In addition, the Company will use the remaining cash balance of HK$2.6 million from the originally raised funds for Group-level operational expenses. Besides supporting the Group's daily operations and expanding the professional team, it will also be used to cover preliminary development costs before some new projects are finalized. The preliminary development expenses incurred to acquire new projects are relatively high and will continue to occur. To ensure the smooth progress of various tasks of the Company and to reasonably plan future business development and team building, it is also necessary to use this financing to continuously replenish the Group's operating funds.

The Company's existing IP business mainly includes three categories:

Entertainment and cultural products: This category includes consumer IPs related to games, animation, and short films/TV series. Currently, the business primarily focuses on IP-related merchandise such as figurines and digital rights, as well as offline promotional activities. The business is relatively mature and stable, but more resources are needed to support the Company in extending its existing experience to new IPs, thereby reducing the impact of the existing IP lifecycle on the Company's business and ensuring its continued development.

Sports-related: The Company's existing apparel business, where it had previously collaborated with sports IPs such as Manchester United, achieved positive market response. Building on this success, in 2025, the Company acquired cooperation rights with sports IPs such as La Liga through joint ventures and partnerships. Preliminary product development, membership platform launch, and market testing have been completed, and the official product launch and large-scale promotion are expected to begin soon (for details please refer to the La Liga project as detailed above). Simultaneously, the Company is actively replicating its experience from collaborations with La Liga and Manchester United to popular domestic sports IP projects. In addition, we are actively expanding our domestic provincial football league IP resources and seeking more cooperation opportunities from the government and organizers.

Industrial IP: Saudi Arabia's industrial IP initiative is aimed to base on the Company's experience in utilizing consumer IP. It primarily focuses on providing IP operation services. The Company's existing IP business involves collaborating with established IPs to create peripheral services and products, starting from scratch. This process is costly in terms of IP acquisition, and the products and services are limited by the IP holder's licensing agreements. The Saudi IP project represents an extension of the Company's IP business from its initial stages. Leveraging its mature IP business experience, and within a strategic cooperation framework, the Company will collaborate with the Saudi Ministry of Industry to create new IP landmarks for SMSC and RAAS. Together, they will design a complete IP positioning, promotion, and implementation plan from scratch, and manage the IP throughout its entire lifecycle. This business represents the Company's attempt to transform from a downstream operator of existing IPs into a provider of comprehensive IP solution design and services. More details on Saudi Arabia's IP are set out below.

The Saudi Industrial IP project represents an innovative business endeavor undertaken by the Company, leveraging our existing experience in intellectual property operation. Its core focus is on providing IP operation services. As a strategic partner, the Company leverages two major industrial IPs from the Saudi Ministry of Industry: "Smart Manufacturing and Mega-Complexes (SMSC)" and "Robotics as a Service (RAAS)."

SMSC is an industrial upgrading concept proposed by the Saudi Ministry of Industry based on the development goals of "Saudi Vision 2030." It primarily covers the intelligent upgrading of Saudi Arabia's domestic industries and the construction of urban complexes. As a Saudi industrial IP service provider, our company proposes the concept of RAAS for intelligent industrial IP, focusing Saudi industrial IP content on AI and robotics-based applications in industrial and office scenarios, and the industrial implementation of benchmark AI and robotics projects in Saudi Arabia.

In this project, the Company primarily acts as an IP service provider, creating entirely new industrial IPs for clients from scratch and promoting the implementation of benchmark projects within this IP framework. The services provided by the Company include, but not limited to, helping clients plan a clear IP concept and positioning, determining the content to be implemented with the IP, carrying out IP promotion and training, facilitating the implementation of AI and robotics companies in iconic industries under the Saudi Industrial IP plan, and other services related to IP commercialization.

This business signifies the Company's transformation from a traditional downstream operator of IP to a comprehensive IP solution design and service provider.

The expected timeline for utilizing the net proceeds raised under the First Share Subscription and the Placing are as below:

(A) HK$6.7 million from the First Share Subscription:

- (1) Saudi Industrial IP business (approximately HK$4 million) up to the end of 2026
- (2) Working capital and team expansion (approximately HK$2.7 million) by the end of 2026

(B) HK$50.55 million from the Placing:

(1) Initial platform development and AI capability building (approximately HK$5 million) in the third quarter of 2026

(2) Investment in Manchester United Sports IP business (approximately HK$10 million) in the third and fourth quarter of 2026

(3) Investment in the Greater Bay Hunanese Football sports IP business (approximately HK$5 million) in the third and fourth quarter of 2026

(4) Saudi Industrial IP Business (approximately HK$4 million) by the mid-to-late 2027

(5) Marketing and user ecosystem building (approximately HK$3 million) by the end of 2026

(6) Working capital and team expansion (approximately HK$23.55 million) by third quarter of 2027

Having considered the above, the Directors consider that the First Share Subscription and the Placing represent an opportunity to raise capital for the Company while broadening its Shareholders and capital base. The Directors are of the view that the First Subscription and the Placing will strengthen the financial position and liquidity of the Group and provide funding to the Group for its business expansion and development as well as working capital without incurring interest costs.

The net proceeds raised from the issue of Warrants Shares is expected to be utilized in full within 12 months from the date of exercise of the subscription rights attaching to the Warrants in full.

The Directors consider that the First Subscription Agreement is entered into on normal commercial terms following arm's length negotiations between the Company and the Investor pursuant to the Shares Subscription Facility Agreement and are fair and reasonable and are in the interests of the Company and the Shareholders as a whole.

The Directors also consider that the Placing Agreement (as supplemented by the Supplemental Placing Agreement) is entered into upon normal commercial terms following arm's length negotiations between the Company and the Placing Agent and the terms of the Placing Agreement (as supplemented by the Supplemental Placing Agreement) (including the Placing Price and the placing commission) are fair and reasonable and are in the interests of the Company and the Shareholders as a whole.

The First Subscription Agreement and the Placing Agreement (as supplemented by the Supplemental Placing Agreement) are not interconditional upon each other.

As at the Latest Practicable Date, (i) the authorised share capital of the Company is HK$100,000,000 divided into 2,500,000,000 Shares of par value of HK$0.04 each, (ii) the number of issued Shares including 2,898,000 Treasury Shares is 951,836,313 Shares, (iii) the number of issued Shares excluding 2,898,000 Treasury Shares is 948,938,313 Shares, and (iv) the issued Shares are full paid up.

The number of Shares to be issued or agreed to be issued under the First Subscription and the Placing shall be a maximum of 8,000,000 Subscription Shares, 31,000,000 Warrant Shares and 100,000,000 Placing Shares, and upon the issue and allotment of the Subscription Shares, the Warrant Shares and the Placing Shares in full, the total number of issued Shares shall be 1,087,938,313 Shares (excluding 2,898,000 Treasury Shares held under securities account in the name of the Company).

EFFECTS ON SHAREHOLDING STRUCTURE OF THE COMPANY FOR THE FIRST SUBSCRIPTION AND THE PLACING

Assuming (1) all the Subscription Shares are subscribed in full, (2) all the Placing Shares are fully placed, (3) all the Subscription Shares are subscribed in full and the Warrants are exercised in full, (4) all the Subscription Shares are subscribed in full and all the Placing Shares are fully placed, and (5) all the Subscription Shares are subscribed in full, all the Placing Shares are fully placed and the Warrants are exercised in full, and there are no other changes in the share capital of the Company from the Latest Practicable Date up to the date of issue of the Subscription Shares, the Placing Shares and the Warrant Shares, to the best knowledge and belief of the Directors and based on the disclosure of interest filed by the substantial shareholder, set out below is the shareholding structure of the Company:

Shareholders	As at the Latest Practicable Date		(1) Assuming issue and allotment of the Subscription Shares in full		(2) Assuming issue and allotment of the Placing Shares in full		(3) Assuming issue and allotment of the Subscription Shares and the Warrant Shares upon the Warrants are exercised in full		(4) Assuming issue and allotment of the Subscription Shares and the Placing Shares in full		(5) Assuming issue and allotment of the Subscription Shares, the Placing Shares and the Warrant Shares upon the Warrants are exercised in full	
	Number of Shares	*Approximate %*	*Number of Shares*	*Approximate %*	*Number of Shares*	*Approximate %*	*Number of Shares*	*Approximate %*	*Number of Shares*	*Approximate %*	*Number of Shares*	*Approximate %*
Directors												
Mei Weiyi	5,250,000	0.55	5,250,000	0.55	5,250,000	0.50	5,250,000	0.53	5,250,000	0.50	5,250,000	0.48
Tang Shu Pui Simon	1,250,000	0.13	1,250,000	0.13	1,250,000	0.12	1,250,000	0.13	1,250,000	0.12	1,250,000	0.11
Substantial Shareholder												
King Castle Enterprise Limited *(Note 2)*	122,500,000	12.91	122,500,000	12.80	122,500,000	11.68	122,500,000	12.40	122,500,000	11.59	122,500,000	11.26
Others												
Investor	–	–	8,000,000	0.84	–	–	39,000,000	3.95	8,000,000	0.76	39,000,000	3.59
Placees	–	–	–	–	100,000,000	9.53	–	–	100,000,000	9.46	100,000,000	9.19
Other Public Shareholders	819,938,313	86.41	819,938,313	85.68	819,938,313	78.17	819,938,313	82.99	819,938,313	77.58	819,938,313	75.37
Total *(Note 1)*	948,938,313	100.00	956,938,313	100.00	1,048,938,313	100.00	987,938,313	100.00	1,056,938,313	100.00	1,087,938,313	100.00

Notes:

1. Excluding 2,898,000 Treasury Shares.

2. King Castle Enterprises Limited is wholly and beneficially owned by Mr. Wong Kin Ting, the father of Mr. Wong Wai Kai Richard, an executive Director.

3. The approximate percentage figures as shown above are rounded to the nearest two decimal place and therefore may not add up to 100% due to rounding.

EQUITY FUND RAISING ACTIVITIES IN THE PAST TWELVE MONTHS

Save as disclosed below, the Company has not conducted any equity fund raising activities in the past 12 months immediately preceding the Latest Practicable Date.

Date of announcements	Fund raising activities	Net proceeds raised	Intended use of net proceeds	Actual use of net proceeds
1 April 2025 and 28 April 2025	Placing of 122,652,000 new shares under general mandate	approximately HK$47.59 million	(i) approximately HK$12.00 million for repayment of outstanding liabilities, (ii) approximately HK$20.59 million for provision of general working capital, and (iii) approximately HK$15.00 million for development of businesses	Used the net proceeds of (i) approximately HK$12.00 million for repayment of outstanding liabilities, (ii) approximately HK$20.59 million for provision of general working capital, and (iii) approximately HK$15.00 million for development of businesses
15 July 2025 and 28 July 2025	Placing of 158,639,385 new shares under general mandate	approximately HK$79.92 million	(i) approximately HK$2.50 million for repayment of outstanding liabilities; (ii) approximately HK$38.00 million for development of businesses; and (iii) approximately HK$39.42 million for provision of general working capital	(i) approximately HK$2.50 million has been utilized for repayment of outstanding liabilities; (ii) approximately HK$31.60 million has been utilized for development of businesses; and (iii) HK$39.42 million has been utilized as general working capital. The remaining proceeds of HK$6.40 million has been kept in bank

Date of announcements	Fund raising activities	Net proceeds raised	Intended use of net proceeds	Actual use of net proceeds
				After considering the current working capital needs of the Company, the Board has resolved to change the usage of HK$2.6 million as originally planned for business development to general working capital of the Group. Therefore, the usage of the remaining HK$6.4 million will be as follows:– (1) HK$3.8 million for business development of La Liga IP project in 2 to 3 months in June to September 2026 such as product development (approximately 60%), marketing (approximately 20%), and other related purposes (approximately 20%), depending on the progress of the business development; and (2) the remaining HK$2.6 million for general working capital of the Group to meet the needs for daily operation, professional fees and business expansion expenses by September 2026 *(Note)*. *Note:* Having considered the prevailing market conditions and ongoing negotiations with the counterparty on the business development projects, as well as the low cash balance of the Group, the Board has resolved to extend the timeline of utilizing the remaining proceeds to September 2026 and to re-allocate HK$2.6 million to meet the needs of the daily operation, professional fees and business expansion expenses by September 2026.

EGM

The EGM is to be held at Suite 1702, 17/F., World-Wide House, No. 19 Des Voeux Road Central, Hong Kong at 11:00 a.m. on Thursday, 13 August 2026 for the purpose of considering and, if thought fit, approving (i) the First Subscription Agreement, including the issue and allotment of the Subscription Shares, the issue of the Warrants, the issue and allotment of the Warrant Shares upon exercise of the subscription right attaching to the Warrants and the Specific Mandate, and (ii) the Placing Agreement (as supplemented by the Supplemental Placing Agreement), including the Specific Mandate. To the best knowledge of the Directors, no Shareholder is required to abstain from voting at the EGM in respect of the resolution(s) for approving (i) the First Subscription Agreement and (ii) the Placing Agreement (as supplemented by the Supplemental Placing Agreement).

The notice of the EGM is set out on pages EGM-1 to EGM-3 of this circular. Whether or not you are able to attend the EGM, you are requested to complete and return the accompanying form of proxy in accordance with the instructions printed thereon and deposit the same as soon as possible and in any event not later than 48 hours before the time appointed for holding of the EGM or any adjournment thereof to the Share Registrar, Tricor Investor Services Limited, at 17/F, Far East Finance Centre, 16 Harcourt Road, Hong Kong. Completion and return of the form of proxy will not preclude you from attending and voting at the EGM or any adjournment thereof should you so wish, and in such case, the form of proxy previously submitted shall be deemed to be revoked.

To determine the entitlement of the members of the Company to attend and vote at the EGM to be held on Thursday, 13 August 2026, the register of members of the Company will be closed from Monday, 10 August 2026 to Thursday, 13 August 2026, both days inclusive. In order to qualify for attending and voting at the EGM, all transfer documents should be lodged for registration with the Share Registrar, Tricor Investor Services Limited, at 17/F, Far East Finance Centre, 16 Harcourt Road, Hong Kong no later than 4:30 p.m. on Friday, 7 August 2026. The record date for ascertaining Shareholders' entitlement to attend and vote at the EGM is Thursday, 13 August 2026.

The resolutions proposed to be approved at the EGM will be taken by poll and an announcement will be made by the Company after the EGM on the results of the EGM.

RECOMMENDATION

The Directors consider that (i) the First Subscription Agreement, including the issue and allotment of the Subscription Shares, the issue of the Warrants, the issue and allotment of the Warrant Shares upon exercise of the subscription right attaching to the Warrants and the Specific Mandate, and (ii) the Placing Agreement (as supplemented by the Supplemental Placing Agreement), including the Specific Mandate are fair and reasonable and are in the interests of the Company and the Shareholders as a whole. Accordingly, the Directors recommend the Shareholders to vote in favour of the resolutions to be proposed at the EGM to approve the above.

MISCELLANEOUS

The English text of this circular shall prevail over the Chinese text for the purpose of interpretation.

Yours faithfully,
For and on behalf of the Board
Virtual Mind Holding Company Limited
Mei Weiyi
Chairman and Executive Director

天機控股有限公司
VIRTUAL MIND HOLDING COMPANY LIMITED
(incorporated in the Cayman Islands with limited liability)
(Stock Code: 1520)

NOTICE OF EXTRAORDINARY GENERAL MEETING

NOTICE IS HEREBY GIVEN that an extraordinary general meeting (the "**EGM**") of Virtual Mind Holding Company Limited (the "**Company**") will be held at Suite 1702, 17/F., World-Wide House, No. 19 Des Voeux Road Central, Hong Kong on Thursday, 13 August 2026 at 11:00 a.m. to consider and, if thought fit, pass the following resolutions, with or without amendments, as ordinary resolutions of the Company:

ORDINARY RESOLUTIONS

1. "**THAT**:

(A) the conditional subscription agreement dated 20 January 2026 entered into between the Company and GEM Global Yield LLC SCS (the "**First Subscription Agreement**") (a copy of which is tabled at the Meeting and marked "A" and signed by the chairman of the Meeting for identification purpose) and the transactions contemplated thereunder be and are hereby approved, confirmed and ratified;

(B) the subscription by the Investor of up to 8,000,000 shares (the "**Subscription Shares**") of HK$0.04 each in the capital of the Company ("**Share(s)**") at a price of HK$0.85 per Subscription Share pursuant to the terms and conditions of the First Subscription Agreement be and are hereby approved;

(C) the warrant instrument to be executed between the Company and the Investor in respect of the issue of up to 31,000,000 units of the warrants (the "**Warrants**") at an initial warrant exercise price of HK$1.97 per Share (subject to adjustments) entitling the holders thereof to subscribe for up to the 31,000,000 Shares (the "**Warrant Share(s)**") and the transactions contemplated thereunder be and are hereby approved and confirmed;

(D) the creation and issue of the Warrants, and the issuance and allotment of up to 31,000,000 Warrant Shares, by the Company to the Investor in accordance with the First Subscription Agreement and the Warrant Instrument be and is hereby approved, confirmed and ratified;

(E) subject to and conditional upon the Listing Committee of The Stock Exchange of Hong Kong Limited having granted the listing of, and permission to deal in, the Subscription Shares and the Warrant Shares, the directors of the Company (the "**Director(s)**") be and are hereby granted a specific mandate to exercise all the powers of the Company to (i) create and issue the Warrants and (ii) issue, allot and credit as fully paid, the Subscription Shares and the Warrant Shares, on and subject to the terms and conditions of the First Subscription Agreement and the Warrant Instrument, provided that such authority granted to the Directors shall be in addition to, and shall not prejudice nor revoke any general or specific mandate(s) which has/have been granted or may from time to time be granted to the Directors prior to the passing of this resolution; and

(F) any one Director (or any two Directors in the case of execution of documents under seal) be and is hereby authorised to, on behalf of the Company, do all such acts and things, to sign and execute such documents or agreements or deeds and take all such actions as he may in his absolute discretion consider necessary, appropriate, desirable or expedient for the purposes of giving effect to or in connection with (i) the First Subscription Agreement and (ii) the Warrant Instrument and the respective transactions contemplated thereunder."

2. "**THAT**:

(A) subject to and conditional upon the fulfilment of the conditions in the conditional placing agreement dated 20 January 2026 (as supplemented by the supplemental placing agreement dated 17 July 2026) (the "**Placing Agreement**") (a copy of which is tabled at the Meeting and marked "B" and signed by the chairman of the Meeting for identification purpose) entered into between the Company as the issuer and Wanhai Securities (HK) Limited as the placing agent in relation to the placing of up to 100,000,000 Shares in the capital of the Company (the "**Placing Share(s)**") on a best effort basis at the placing price of HK$0.52 per Placing Share, and transactions contemplated thereunder be and are hereby approved, confirmed and ratified;

(B) the Directors be and are hereby granted a specific mandate to exercise all the powers of the Company to allot and issue the Placing Shares, subject to and in accordance with the terms and conditions set out in the Placing Agreement; and

(C) any one Director, or any two Directors or any one Director and the company secretary of the Company (with a common seal of the Company be affixed, if required) be and is or are hereby authorised for and on behalf of the Company to sign and execute all such other documents, instruments and agreements, and to do all such acts or things deemed by him or her or them to be incidental to, ancillary to or in connection with the matters contemplated in the Placing Agreement as he or she or they consider(s) necessary, desirable or expedient for the implementation of and giving effect to the Placing Agreement and transactions contemplated thereunder (including but not limited to the allotment and issue of the Placing Shares)."

By Order of the Board
Virtual Mind Holding Company Limited
Mei Weiyi
Chairman and Executive Director

Hong Kong, 24 July 2026

As at the date of this notice, the Board comprised the following Directors:

Executive Directors	Mr. MEI Weiyi *(Chairman)* Mr. LI Yang Ms. TIN Yat Yu Carol Mr. WONG Wai Kai Richard
Non-executive Director	Ms. KOT Mui
Independent non-executive Directors	Mr. TANG Shu Pui Simon Mr. HON Ming Sang Mr. CHEUNG Pak To, *BBS*
Head office and principal place of business in Hong Kong	Suite 1702, 17/F. World-Wide House No. 19 Des Voeux Road Central Hong Kong

Notes:

1. For purposes of determining the holding of the EGM, Business Day means any day (excluding Saturday and Sunday) on which banks in Hong Kong are generally open for business.

2. For ascertaining the entitlement to attend and vote at the EGM, the register of members of the Company will be closed from Monday, 10 August 2026 to Thursday, 13 August 2026 (both days inclusive), during which period no transfer of shares will be registered. In order to be entitled to attend and vote at the EGM, all duly completed transfer documents accompanied by the relevant share certificates must be lodged with the Company's branch share registrar and transfer office in Hong Kong, Tricor Investor Services Limited, at 17/F, Far East Finance Centre, 16 Harcourt Road, Hong Kong for registration not later than 4:30 p.m. on Friday, 7 August 2026. The record date for ascertaining Shareholders' entitlement to attend and vote at the EGM is Thursday, 13 August 2026.

3. Any Shareholder entitled to attend and vote at the EGM is entitled to appoint one or, if he/she is the holder of two or more shares, more than one proxy to attend and vote on his/her behalf in accordance with the articles of association of the Company (as amended from time to time). A proxy needs not be a shareholder of the Company.

4. To be valid, a form of proxy and the power of attorney or other authority, if any, under which it is signed or a certified copy of such power or authority must be deposited at the Company's branch share registrar and transfer office in Hong Kong, Tricor Investor Services Limited, at 17/F, Far East Finance Centre, 16 Harcourt Road, Hong Kong in any event not later than 11:00 a.m. on Tuesday, 11 August 2026.

5. Completion and return of a form of proxy will not preclude a Shareholder from attending and voting in person at the EGM or any adjournment thereof and in such case, the form of proxy previously submitted shall be deemed to be revoked.

6. In the case of joint holders of a share, any one of such joint holders may vote, either in person or by proxy, in respect of such share as if he/she was solely entitled thereto but if more than one of such joint holders are present at the EGM, the vote of the senior who tenders a vote, whether in person or by proxy, shall be accepted to the exclusion of the votes of the other joint holders. For this purpose, seniority shall be determined by the order in which the names stand first in the register of members in respect of the joint holding.